Question #1 of 58

Question ID: 1674608

Which of the following statements regarding activist investing as a form of shareholder engagement is correct?

Statement 1:	Activist investing is used to reduce the free rider problem.
Statement 2:	Activist investors may seek to obtain representation on a company's board of directors through a proxy contest.

A) Statement 1 only. ✗

B) Statement 2 only. ✓

C) Both Statement 1 and Statement 2. ✗

Explanation

Successful shareholder engagement, including activist investing, benefits all shareholders, including free riders.

Activist investors may use proxy contests to obtain board representation. In a proxy contest, activist investors attempt to persuade other shareholders to support their proposals.

(Module 6.2, LOS 6.d)

Question #2 of 58

Question ID: 1674567

Which of the following statements regarding using equities as an inflation hedge is *most accurate*? They have been a good inflation hedge:

A) in many countries over a short time span. ✗

B) in many countries over a long time span. ✓

C) but only in the United States for a short time span. ✗

Explanation

Using data for 17 countries for 106 years, equities have had consistently positive real returns (i.e., their nominal return has been higher than that of inflation).

(Module 6.1, LOS 6.a)

Question #3 of 58

Question ID: 1674577

A portfolio manager is planning to invest in an emerging market's small-cap index. Which of the following equity universe segmentation approaches does this market index combine?

A) Size/style and geographic segmentation. ✓

B) Size/style and economic activity segmentation. ✗

C) Geographic and economic activity segmentation. ✗

Explanation

An index that tracks small-cap companies from emerging markets combines size and style segmentation with geographic segmentation. Economic activity segmentation groups companies into sectors or industries.

(Module 6.1, LOS 6.b)

Question #4 of 58

Question ID: 1674574

Pristine Asset Management Company (PAMCO) recently launched an environmental, social, and governance (ESG) fund that invests in the shares of companies focusing on renewable energy. PAMCO's approach to ESG investing would be *best* described as:

A) positive screening. ✗

B) a best-in-class approach. ✗

C) thematic investing. ✓

Explanation

Thematic investing is an approach that focuses on investing in companies following a specific theme (e.g., ESG investing) or within a specific sector (e.g., climate change or energy efficiency).

Negative screening excludes companies or sectors that do not meet accepted ESG standards.

Positive or best-in-class screening seeks to identify companies or sectors that rank most favorably in terms of ESG criteria.

(Module 6.1, LOS 6.a)

Question #5 of 58

Question ID: 1674604

Shareholder engagement involves the active interaction in company affairs by investors. Which of the following issues is *least likely* to be discussed when shareholders engage with companies?

A) Succession planning of the board of directors. ✗

B) Internal controls. ✗

C) Hiring policies for senior management. ✓

Explanation

Although the remuneration and compensation structures of senior management are likely to be discussed with shareholders, the actual hiring policies are much less likely to be discussed.

The discussion of internal controls falls within the issue of corporate governance and is a highly likely issue to be discussed with shareholders.

The discussion of succession planning falls within the issue of the composition of the board of directors and is a highly likely issue to be discussed with shareholders.

(Module 6.2, LOS 6.d)

Question #6 of 58

Question ID: 1674587

Which of the following statements regarding the segmentation of the equity investment universe is correct?

Statement 1:	An advantage of segmentation by size and style is that it ensures consistent categorization across investors.
Statement 2:	A shortcoming of segmentation by geography is that an investment in a foreign market may offer lower-than-expected exposure to that market.

A) Both Statement 1 and Statement 2. ✗

B) Statement 1 only. ✗

C) Statement 2 only. ✓

Explanation

A major disadvantage of segmenting by size and style is that categories may be defined differently by different investors.

When segmenting by geography, a major disadvantage is that investing in a foreign market may offer lower exposure to that market than the investor expects. For example, a domestic investor from a developed market buys shares in large companies in a foreign market to diversify. However, these companies may have already diversified their business internationally and may even derive much of their income from the investor's country.

(Module 6.1, LOS 6.b)

Question #7 of 58

Question ID: 1674618

An investment analyst makes the following statements about equity investment management:

Statement 1:	Investment strategies with a narrow investment focus tend to be managed passively rather than actively.
Statement 2:	Relative to active managers, key person risk is more of a concern for passive managers.

Which of the analyst's statements is correct?

A) Neither Statement 1 nor Statement 2. ✗

B) Statement 2 only. ✗

C) Statement 1 only. ✓

Explanation

Investment strategies with a narrow investment focus (e.g., country specific or sector specific) are more likely to be passively managed because of the limited opportunities to generate alpha.

Key person risk is more relevant for active managers, particularly if the ability to achieve superior performance depends on a very small number of individuals.

(Module 6.2, LOS 6.e)

Question #8 of 58

Question ID: 1674617

The Highlife Fund seeks to track the performance of the FTSE U.K. Equity Income Index. The prospectus states that the fund invests in all of the constituent shares of the index in the same proportion as the index. Turnover in the fund is generally limited to rebalancing trades to minimize trading costs. The fund is *most likely* to be managed:

A) to generate positive alpha. ✗

B) actively. ✗

C) passively. ✓

Explanation

The fund is passively managed, based on the information that it uses full replication to track its benchmark index, and turnover is limited to rebalancing trades.

(Module 6.2, LOS 6.e)

Question #9 of 58

Question ID: 1674573

Anne Townsend manages an equity portfolio with a lower-than-average risk tolerance. If the investment goal of the portfolio is to generate a stable income stream, Townsend is *most likely* to invest in shares of:

A) technology start-ups. ✗

B) large, older companies. ✓

C) commodity-producing companies. ✗

Explanation

Large, well-established companies often pay dividends, and these dividends may increase over time.

Technology start-ups are growth-oriented companies and are unlikely to pay dividends initially.

Commodity-producing companies are likely to exhibit higher-than-average risk.

(Module 6.1, LOS 6.a)

Question #10 of 58

Question ID: 1674589

Which of the following trading costs results when an order is not filled?

A) Opportunity costs. ✓

B) Market impact costs. ✗

C) Price impact costs. ✗

Explanation

Opportunity cost arises from unfilled orders or failed trading opportunities.

(Module 6.2, LOS 6.c)

Question #11 of 58

Question ID: 1674613

Which of the following equity investment portfolios would *most likely* be passively managed?

A) Emerging-markets small-cap value portfolio. ✗

B) World large-cap growth portfolio. ✗

C) USA consumer defensive sector portfolio. ✓

Explanation

An appropriate equity portfolio benchmark should contain a broad range of underlying securities with sufficient liquidity. These factors will enhance the potential for benchmark outperformance while keeping trading costs at a reasonable level. For these reasons, country- and sector-specific equity funds (e.g., consumer defensive companies) tend to be more passively managed.

(Module 6.2, LOS 6.e)

Question #12 of 58

Question ID: 1674565

You are trying to explain the benefits of including equities in a portfolio strategy. It would be correct for you to say that:

A) dividend yields tend to be more stable than other return contributors. ✓

B) the available risk reduction offered by correlation differences is relatively constant across time. ✗

C) equities are negatively correlated with inflation during periods of mild inflation. ✗

Explanation

The risk reduction offered by correlation is unstable. During a period of financial crisis, correlations can increase substantially. Most equities are positively correlated with inflation. However, during periods of hyperinflation, negative correlations are observed. The dividend yield portion of the total return is more stable than returns from capital gains, which is the most common other return driver.

(Module 6.1, LOS 6.a)

Question #13 of 58

Question ID: 1674602

An investor who seeks to actively influence specific companies is *least likely* to:

A) be an activist investor. ✗

B) start a proxy voting. ✗

C) lend securities. ✓

Explanation

When shares are loaned out, voting rights are transferred to the stock borrower. Being unable to vote reduces the investor's ability to influence the company. Activist investors, by definition, seek to influence the companies they invest in, and launching a proxy fight is one way they may do so.

(Module 6.2, LOS 6.d)

Question #14 of 58

Question ID: 1674575

Which of the following statements regarding the role of equities as a hedge against inflation is correct?

Statement 1:	For equities to be used as a hedge against inflation, real returns on equity should be negatively correlated with inflation.
Statement 2:	Equities have been successfully used as a hedge against inflation because the correlation between real returns on equity and inflation is relatively constant over time.

A) Neither Statement 1 nor Statement 2. ✓

B) Statement 2 only. ✗

C) Statement 1 only. ✗

Explanation

If real returns on equity and inflation exhibit positive correlation, equities can, in theory, be used as an inflation hedge.

The general record for equities as an inflation hedge is mixed because the correlation between the real returns on equity and inflation varies over time and by country.

(Module 6.1, LOS 6.a)

Question #15 of 58

Question ID: 1674611

Which of the following statements regarding active management is correct?

A) It is more likely to have a benchmark that is liquid. ✓

B) It is more likely to have greater tax efficiency than passive management. ✗

C) It is more likely to benefit portfolios investing in companies in large-cap and/or developed markets. ✗

Explanation

Active management usually requires benchmarks with underlying stocks that are liquid to avoid excessive trading costs.

Companies in large-cap and/or developed markets are usually well covered by analysts, so all publicly available information would be imputed in stock prices—thereby most likely limiting the usefulness of active management.

Compared to passive management, active management is more likely to have higher turnover and more short-term capital gains. Higher turnover and short-term capital gains are generally less tax efficient.

(Module 6.2, LOS 6.e)

Question #16 of 58

Question ID: 1674595

Active management may demand or provide liquidity to equity markets. Which of the following active investment strategies would *most likely* demand liquidity from the market?

A) Buy-and-hold strategies. ✗

B) Deep value strategies. ✗

C) Momentum strategies. ✓

Explanation

Momentum strategies tend to demand liquidity from the market by buying shares in an increasing market and selling shares in a decreasing market. Strategies that invest in undervalued securities are more like contrarian strategies that provide market liquidity. Buy-and-hold strategies are passive in nature and don't specifically demand or supply liquidity.

(Module 6.2, LOS 6.c)

Question #17 - 20 of 58

Question ID: 1674620

In Grifton's response to Question 1, her response is *most accurate* regarding:

A) the correlations.

B) the standard deviations.

C) the diversification benefit from equities.

Explanation

Although equity securities offer diversification benefits due to less-than-perfect correlation with other asset classes, the risk reduction is not constant. During a financial crisis, asset class standard deviations, as well as correlations, tend to increase limiting their diversification benefit.

(Module 6.1, LOS 6.a)

Question #18 - 20 of 58

Question ID: 1674621

In Grifton's response to Question 2, which of the following is *most accurate* regarding the typical investor with low risk tolerance?

A) Their typical equity style preference.

B) Their typical dividend yield preference.

C) Their typical type of mutual fund investment.

Explanation

Grifton states that the typical low risk tolerance investor favors growth stocks, a high dividend yield, and active management.

It is true that investors with a low risk tolerance tend to prefer companies that pay dividends. However, it is investors with a high risk tolerance who typically prefer growth-oriented companies, which typically pay low-dividend yields. Low risk tolerance investors typically prefer stable, well-established companies.

Growth strategies, typically preferred by high risk tolerance investors, are often seen as more likely to benefit from active management—while value-style portfolio management tends to be more passive.

(Module 6.2, LOS 6.e)

Question #19 - 20 of 58

Question ID: 1674622

In Grifton's response to Question 3, the fee that the client and Grifton reference is *most likely*:

A) a custody fee. ✗

B) a depository fee. ✓

C) a registration fee. ✗

Explanation

Depository fees are charged to assist custodians with segregating portfolio assets and for verifying portfolio compliance with investment limits, such as leverage and cash requirements.

Custody fees are charged for having a custodian hold assets independent of the portfolio manager. Registration fees are charged for registering ownership of mutual fund shares.

(Module 6.2, LOS 6.c)

Question #20 - 20 of 58

Question ID: 1674623

Which of the following Vanfree funds is *most likely* to supply liquidity to the market?

A) The Accelerators Fund. ✗

B) The Universal Index Fund. ✗

C) The New Tomorrow Fund. ✓

Explanation

From its description, the New Tomorrow Fund appears to be a contrarian fund. Contrarian strategies tend to supply liquidity by buying shares in a decreasing market and selling shares in an increasing market. This is likely to create low market impact costs.

From its description, the Accelerators Fund appears to be a momentum fund. Momentum strategies tend to demand liquidity by buying shares in an increasing market and selling shares in a decreasing market. This is likely to create high market impact costs.

Passive index replication strategies are likely to fall in the middle between contrarian and momentum strategies.

(Module 6.2, LOS 6.c)

Question #21 of 58

Question ID: 1674585

A fund analyst makes the following statements relating to segmentation of the equity investment universe:

Statement 1:	When segmenting by size and style, each company will be classified as either growth or value.
Statement 2:	A downside of geographic segmentation is the potential currency risk from investing in international equity markets.
Statement 3:	Segmenting by economic activity hinders the construction of performance benchmarks for specific sectors by active equity managers.

Which of the analyst's statements is *most accurate*?

A) Statement 3. ✗

B) Statement 2. ✓

C) Statement 1. ✗

Explanation

When segmenting by geography, an investor may face currency risk from investing in international equity markets.

When segmenting by size and style, a company can be classified as growth, value, or core (a combination of value and growth).

An advantage of segmenting by economic activity is that it enables performance benchmarks for specific sectors or industries to be constructed.

(Module 6.1, LOS 6.b)

Question #22 of 58

Question ID: 1674588

The MSCI EAFE Small Cap Growth Index combines segmentation of the equity investment universe by:

A) geography and economic activity. ✗

B) size, style, and geography. ✓

C) size, style, and economic activity. ✗

Explanation

The MSCI EAFE Small Cap Growth Index consists of small-cap shares displaying growth-style attributes from countries with developed markets, excluding the United States and Canada. The index is segmented along size, style, and geographic dimensions.

(Module 6.1, LOS 6.b)

Question #23 of 58

Question ID: 1674582

Equity segmentation based upon economic activity:

A) classifies companies neatly into a single category. ✗

B) enables granular benchmark construction. ✓

C) promotes diversification within a given sector/industry. ✗

Explanation

Equity segmentation by economic activity can be challenging when it attempts to categories a complex business model into a single category. This can present diversification missteps when an analyst does not consider the full picture for a firm. Categorization does enable customized benchmarks to be constructed. They also enable a more granular view on diversification *across* different sectors.

(Module 6.1, LOS 6.b)

Question #24 of 58

Question ID: 1674603

Which of the following is correct with respect to shareholder engagement?

A) Passive managers routinely engage in shareholder engagement. ✗

B) Shareholder engagement increases the risk of insider trading activity. ✓

C) Shareholder engagement primarily benefits those investors who are actively involved in the process. ✗

Explanation

Shareholder engagement benefits all shareholders of the firm. Some investors incur the direct costs of engagement, while free riders simply enjoy the benefits. Active managers are most likely to be involved with engagement efforts, while passive investors typically avoid the associated costs. Because shareholder engagement involves uncovering information that is potentially both material and nonpublic, it does increase the risk of insider trading.

(Module 6.2, LOS 6.d)

Question #25 of 58

Question ID: 1674593

A wealth manager is researching the potential sources of income from owning and managing an equity portfolio. Which of the following actions are required if the manager wishes to generate income from a dividend capture strategy? The manager should:

A) sell put options on equities. ✗

B) transfer equities to another investor. ✗

C) buy and hold equities for a short period of time. ✓

Explanation

With a dividend capture strategy, an investor buys a stock right before its ex-dividend date and holds that stock through the ex-dividend date. After the dividend is received (i.e., captured), the manager immediately sells the stock. Transferring equities between investors is a form of securities lending. Selling put options on equities while simultaneously depositing money into a separate account is a cash-covered put.

(Module 6.2, LOS 6.c)

Question #26 of 58

Question ID: 1674568

Which of the following is *most accurate* regarding using equities as an inflation hedge?

A) Their ability to hedge is unaffected by taxes. ✗

B) The historical record is impressive as to their effectiveness. ✗

C) The effectiveness of an individual stock as a hedge depends on its product market.

Explanation

The more competition in a firm's product market, the less effective their stock will be as a hedge.

Because corporate income and capital gains tax rates are not indexed to inflation, inflation can reduce the stock investor's return, unless this effect was priced into the stock when the investor bought it.

The general record for equities as an inflation hedge is mixed. Studies generally show positive correlation between equity real returns and inflation, but the relationship varies over time and by country. Other studies show that equities and inflation become negatively correlated during periods of hyperinflation. In addition, equity prices are typically a leading economic indicator, while inflation is a lagging economic indicator; this suggests a less-than-perfect correlation between equity return and inflation.

(Module 6.1, LOS 6.a)

Question #27 of 58

Question ID: 1674601

The hidden trading cost from potential predatory trading that equity index funds face is *most likely* a:

A) stock borrowing cost.

B) market impact cost.

C) brokerage commission cost.

Explanation

The hidden cost stems from predatory traders purchasing (selling) shares that are soon to be added (removed) from an equity index. These transactions will create market impact costs for the fund and a profit for the predatory traders.

(Module 6.2, LOS 6.c)

Question #28 of 58

Question ID: 1674616

Benjamin Sibley is a high-net-worth investor who wishes to incorporate environmental, social, and governance (ESG) considerations into his equity portfolio through positive screening. Sibley has also indicated that his portfolio should be diversified across countries with developed markets. Based on these criteria, the manager of Sibley's equity portfolio is *most likely* to:

A) use an active management approach.

B) select investments by excluding companies that deviate from accepted standards.

C) pursue a closet index approach.

Explanation

Mandates from clients with specific investment criteria (e.g., ESG considerations) are more suited to active management because they require ongoing monitoring/management.

In this scenario, the manager is required to use positive (best-in-class) screening and has been given a broad investment focus (diversification across the developed markets).

Excluding companies based on specified activities (e.g., defense or aerospace) would be best described as negative (rather than positive) screening.

(Module 6.2, LOS 6.e)

Question #29 of 58

Question ID: 1674596

An investment analyst makes the following statements when discussing potential sources of income for an equity portfolio:

Statement 1:	Dividend capture is a trading strategy where an investor buys a stock just before its ex-dividend date, holds the stock through the ex-dividend date to be entitled to receive the dividend payment, and then sells the stock.
Statement 2:	When a company pays an optional stock dividend to an investor, the investor may be able to monetize the option to receive a cash or stock dividend as a source of income for the portfolio.

Which of the analyst's statements is correct?

A) Both Statement 1 and Statement 2.

B) Statement 1 only.

C) Statement 2 only.

Explanation

Dividend capture and monetization of optional stock dividends are potential sources of income for an equity portfolio.

(Module 6.2, LOS 6.c)

Question #30 of 58

Question ID: 1674598

A fund analyst makes the following statements related to writing options as a source of income for an equity fund:

Statement 1:	Covered call writing generates income for the fund, but it limits the upside from price appreciation of the underlying shares.
Statement 2:	Writing cash-covered puts generates income for the fund, but the fund may be required to purchase shares at a premium to their market price.

Which of the analyst's statements is correct?

A) Statement 1 only. ✗

B) Statement 2 only. ✗

C) Both Statement 1 and Statement 2. ✓

Explanation

Writing options generates income from the options premiums earned.

If the fund writes (sells) a covered call, it loses the potential upside on the underlying share above the strike price of the call option. (In this scenario, the option buyer will choose to exercise the call option.)

When the fund writes a cash-covered put, the fund is obliged to purchase the underlying share from the holder of the put option if the option is exercised. The option buyer will choose to exercise the put option if the share price falls below the strike price of the put.

(Module 6.2, LOS 6.c)

Question #31 of 58

Question ID: 1674580

You are considering including geographic dispersion in your diversification approach. Which of the following is the *most correct* statement?

A) Geographic segmentation enables domestic investors to target risk exposures. ✓

B) Inflation risk is the most notable additional risk carried by this approach.

C) Diversification will always be enhanced by including international elements.

Explanation

Currency risk is the most notable additional risk introduced with nondomestic investing. Diversification is often enhanced through geographic dispersion, but it is not guaranteed. An international investment target might have tremendous exposure to domestic markets and therefore reduce or remove the diversification benefits. In general, geographic segmentation enables investors to target specific risk exposures.

(Module 6.1, LOS 6.b)

Question #32 of 58

Question ID: 1674566

Client investment constraints are increasingly including an ESG component. Which of the following statements is correct relative to an ESG approach?

A) Searching for the most environmentally focused utility companies is an example of a positive screen.

B) Best-in-class screening is often called impact investing.

C) Seeking to exclude companies with a diverse and independent board of directors is an example of negative screening.

Explanation

Impact investing is related to ESG investing. In this style, investors seek to make a direct impact with their investing by becoming engaged with management. To some degree, it merges activist investing with ESG investing. Positive screening is looking for best-in-class firms for various ESG metrics. Negative screening excludes companies or sectors that do not meet client standards, but a diverse and independent board is what they would positively screen to find, not negatively screen to avoid.

(Module 6.1, LOS 6.a)

Question #33 of 58

Question ID: 1674572

The equity portfolio of a retail investor consists solely of S&P 500 ETFs. Which of the following investments is the investor *most likely* to add to the portfolio to maximize potential risk diversification benefits in normal market conditions?

A) MSCI Emerging Markets ETFs.

B) SPDR Gold Shares ETFs. ✓

C) FTSE 100 ETFs. ✗

Explanation

Equity indices tend to exhibit relatively high correlation with each other.

There is significantly lower correlation between equities and other asset classes, particularly bonds and commodities. Note that the SPDR Gold Shares ETF is a physically backed gold ETF with an investment objective to reflect the performance of the price of gold bullion.

(Module 6.1, LOS 6.a)

Question #34 of 58

Question ID: 1674576

A portfolio manager is considering investing in a start-up firm with a price-to-earnings (P/E) ratio of 42. The manager notes that the market P/E ratio is currently 25. Which of the following equity investment style boxes would *best* categorize this company?

A) Small-cap value. ✗

B) Large-cap growth. ✗

C) Small-cap growth. ✓

Explanation

Given the start-up nature of this company, it most likely has a small market capitalization. Also, given the company's high P/E ratio relative to market, it is likely more growth focused than value focused. Therefore, this company would be best categorized as small-cap growth.

(Module 6.1, LOS 6.b)

Question #35 of 58

Question ID: 1674600

A global equity absolute return fund charges a fee of 20% of the outperformance in excess of a threshold return of 8%, subject to a high-water mark. This fee is *most likely*:

A) an incentive fee. ✓

B) a platform fee. ✗

C) a management fee. ✗

Explanation

An incentive or performance fee is earned by the fund manager when the portfolio outperforms a stated return objective. A high-water mark incorporated into the calculation of the incentive fee protects the investor from paying twice for the same return.

(Module 6.2, LOS 6.c)

Question #36 of 58

Question ID: 1674584

Zenith Investment Management Company has recently launched the Allstar fund that focuses on shares in frontier markets. The Allstar fund is *best* described as a fund segmented by:

A) economic activity. ✗

B) geography. ✓

C) size and style. ✗

Explanation

Segmentation by geography categorizes international markets by stage of economic development, such as developed markets, emerging markets, and frontier markets.

(Module 6.1, LOS 6.b)

Question #37 of 58

Question ID: 1674592

A high-water mark is a:

A) feature to protect investors from paying performance fees twice. ✓

B) level above which no performance fees are paid. ✗

C) measure used to reduce trading costs. ✗

Explanation

A high-water mark is a metric used to prevent an investor from paying performance (incentive) fees twice. If the portfolio is *below* the high-water mark, then no incentive fees will be paid.

(Module 6.2, LOS 6.c)

Question #38 of 58

Question ID: 1674581

Some investors segment equity securities by economic activity. Which statement is correct with respect to this approach?

A) A market-oriented approach classifies equities based upon the economic areas from which cash flows are generated. ✓

B) Regardless of the approach used, a company should terminate in the same Global Industry Classification Standard (GICS) category. ✗

C) A production-oriented approach classifies equities based upon how products are used by customers. ✗

Explanation

A market-oriented approach segments companies by markets served, how products are used by customers, and from which markets cash flows are generated. A product-oriented approach segments companies by products manufactured and inputs required for production. The GICS is a market-oriented classification system. Companies will be classified differently if a market-oriented or production-oriented approach is deployed.

(Module 6.1, LOS 6.b)

Question #39 of 58

Question ID: 1674594

An investment analyst is evaluating portfolio costs related to buying and selling equity securities. Which of the following costs is an example of an implicit trading cost?

A) Stock exchange fees. ✗

B) Price impact from trading. ✓

C) Broker commissions. ✗

Explanation

Trading costs can be explicit or implicit. Explicit costs include broker commissions, stock exchange fees, and taxes. Implicit costs include bid-ask spreads, price impact from the transaction, and delay costs from not completing an entire trade due to illiquidity. Price impact measures the effect on market prices from making a trade.

(Module 6.2, LOS 6.c)

Question #40 of 58

Question ID: 1674606

A portfolio analyst makes the following statements about the exercise of voting rights in shareholder engagement:

Statement 1:	When an investor borrows stock, voting rights are transferred from the stock lender to the investor (stock borrower).
Statement 2:	Empty voting enables the stock lender to keep the voting rights of the loaned stock in exchange for receiving a lower fee from the stock borrower.

Which of the analyst's statements is correct?

A) Statement 2 only. ✗

B) Statement 1 only. ✓

C) Both Statement 1 and Statement 2. ✗

Explanation

In a stock loan, voting rights are transferred to the stock borrower.

Empty voting occurs when an investor borrows stock for the explicit purpose of exercising the voting rights attached to the stock.

(Module 6.2, LOS 6.d)

Question #41 of 58

Question ID: 1674590

You work for a large institutional investor that is engaged in securities lending. Which of the following statements regarding securities lending is *most accurate*?

A) The securities lender is entitled to all dividends paid while the securities are being lent. ✓

B) The securities lender is entitled to all voting rights while the securities are being lent. ✗

C) The securities lender typically collects a larger fee for loans of securities in developed markets versus securities in emerging markets. ✗

Explanation

Those who lend securities for the purpose of short selling can use this approach to generate cash flow in the form of fees paid by the borrower and interest earned on the posted collateral. The securities lender will lose all voting rights, but they will be reimbursed for any dividends paid by the subject company while the shares are lent.

Lenders typically collect a small fee in the range of 0.2%–0.5% annually for developed markets. That fee may increase substantially for emerging market stock loans.

(Module 6.2, LOS 6.c)

Question #42 of 58

Question ID: 1674609

An investment adviser makes the following statements about the benefits of shareholder engagement:

Statement 1:	Relative to passive fund managers, shareholder engagement is a higher-priority activity for active fund managers.
Statement 2:	Shareholder engagement should focus on financial matters, rather than nonfinancial considerations such as a company's environmental, social, and governance (ESG) practices.

Which of the adviser's statements is correct?

A) Statement 2 only. ✗

B) Both Statement 1 and Statement 2. ✗

C) Statement 1 only. ✓

Explanation

Shareholder engagement is a higher priority for active managers, as it may result in superior company performance and help them to outperform their benchmark. Passive managers are likely to focus on minimizing costs, including the costs associated with shareholder engagement, when tracking their benchmark.

Shareholders with nonfinancial considerations, such as ESG practices, may benefit from shareholder engagement.

(Module 6.2, LOS 6.d)

Question #43 of 58

Question ID: 1674605

Ryan Wanne is an equity analyst who is preparing an educational presentation within the firm on shareholder engagement. Which of the following statements regarding the advantages of shareholder engagement should he include in the presentation?

A) Shareholder engagement that has pressured companies to adhere to environmental, social, and governance (ESG) criteria have consistently resulted in higher returns. ✗

B) Successful shareholder engagement benefits all shareholders, not just the subset of shareholders who engage. ✓

C) Index fund managers who are regularly involved in shareholder engagement have seen a clear improving trend of performance results. ✗

Explanation

Successful shareholder engagement benefits all shareholders, including "free riders." Free riders do not engage, but they reap the same benefit from any increase in the stock price.

ESG considerations are difficult to quantify, so the empirical evidence to link increased returns to shareholder engagement regarding ESG is inconclusive (so it cannot conclusively be considered an advantage).

Index fund managers are passive in nature, so their main goal is to track a benchmark and to do so at minimal cost. Therefore, the investment of time and resources in shareholder engagement by such managers will likely increase their costs and lower their returns.

(Module 6.2, LOS 6.d)

Question #44 of 58

Question ID: 1674591

Your client is interested in less conventional approaches to capturing income linked to equity holdings. Which idea is one that you should discuss with this client?

A) A cash-covered put is a good option in a deeply downward-trending market. ✗

B) A dividend capture strategy is a good idea for dividend-paying stocks in a range-bound market. ✓

C) A covered call is a good option in an upward-trending market. ✗

Explanation

While a covered call does create additional portfolio income, the capital gains loss from capping a stock's upside in an upward-trending market is detrimental to financial success. A cash-covered put could be a good option in a range-bound or a slight downtrend, but in a deep downtrend, the investor could be forced to purchase shares at a strike price that is considerably higher than the current market price at the time of exercise. Dividend capture works best in a scenario when the stock's price rises or at least falls less than the amount of the dividend paid. A dividend-paying stock in a range-bound market could potentially satisfy this need.

(Module 6.2, LOS 6.c)

Question #45 of 58

Question ID: 1674586

A portfolio manager segments the equity universe by economic activity to enhance diversification opportunities across industries in her portfolios. If the manager prefers a market-oriented approach to segmentation by economic activity, she is *most likely* to analyze industries using:

A) the Industrial Classification Benchmark (ICB) system. ✗

B) the Thomson Reuters Business Classification (TRBC) system. ✗

C) the Global Industry Classification Standard (GICS) system. ✓

Explanation

The GICS classification system is a market-oriented approach that segments companies by markets served, how products are used by consumers, and how revenues are generated.

The ICB and TRBC classification systems use a production-oriented approach that segments companies by products manufactured and inputs required during the production process.

(Module 6.1, LOS 6.b)

Question #46 of 58

Question ID: 1674583

An equity fund invests in a diversified portfolio of U.S. equities that are in the S&P 500 Index, or equities with investment attributes and market capitalizations that are similar to those in the S&P 500 Index. The fund is *most likely* to be categorized as a large-cap:

A) value fund. ✗

B) blend fund. ✓

C) growth fund. ✗

Explanation

The S&P 500 Index measures the performance of the large-cap sector of U.S. equities. Because the fund is diversified and maintains attributes similar to that of the S&P 500, it is likely to contain growth, value, and core stocks. As such, it is most likely to be classified as a large-cap blend fund.

(Module 6.1, LOS 6.b)

Question #47 of 58

Question ID: 1674571

An equity analyst makes the following statements about the role of equities in a multi-asset portfolio.

Statement 1:	Equities are likely to achieve better returns than other asset classes when the economy exhibits strong growth.
Statement 2:	Long-term returns on equities are mainly driven by stable dividend yields.

Which of the analyst's statements is correct?

A) Both Statement 1 and Statement 2.

B) Statement 1 only.

C) Statement 2 only.

Explanation

Equities are likely to outperform other asset classes when the economy is growing strongly.

Long-term returns on equities are mainly driven by capital appreciation.

(Module 6.1, LOS 6.a)

Question #48 of 58

Question ID: 1674597

Which of the following statements about stock lending is correct?

Statement 1:	Dividends on the loaned stock are paid by the stock borrower to the stock lender as compensation for dividend payments made during the loan period.
Statement 2:	When the loaned stock is a special, the stock lender will generally agree only to an overnight loan because of the high demand for borrowing specials.

A) Statement 1 only. ✓

B) Statement 2 only. ✗

C) Both Statement 1 and Statement 2. ✗

Explanation

In stock lending, the stock borrower compensates the stock lender for dividend payments that occur during the period of the stock loan because the stock borrower legally received the dividends.

Stock loans are usually open ended in duration. If the loaned stock is a special, the stock lender is likely to earn a higher-than-average fee on the stock loan due to the high demand for borrowing specials.

(Module 6.2, LOS 6.c)

Question #49 of 58

Question ID: 1674614

Active equity portfolio management is *most likely* to be employed by an investment manager if she believes that:

A) she can outperform her benchmark. ✓

B) stock markets are highly efficient. ✗

C) portfolios should be positioned as closet index portfolios. ✗

Explanation

Active managers must have confidence that they can outperform the benchmark.

If markets are highly efficient, it is extremely difficult to generate alpha through active management.

A closet index portfolio is one that claims to be actively managed—but, in fact, differs little from a passively managed portfolio.

(Module 6.2, LOS 6.e)

Question #50 of 58

Question ID: 1674607

The Luna fund invests in the shares of large-cap, value-oriented companies across the developed markets. One of the top 10 holdings of the fund is in Allkinds Insurance Company (Allkinds), which itself is a significant investor in the fund. This scenario *most likely*:

A) creates a potential conflict of interest for Allkinds, but not for the Luna fund. ✗

B) does not create a potential conflict of interest. ✗

C) creates a potential conflict of interest for the Luna fund, but not for Allkinds. ✓

Explanation

The scenario creates a potential conflict of interest for the Luna fund, arising from shareholder engagement. (*Shareholder engagement* refers to the process whereby investors actively interact with companies by, for example, voting on corporate matters at general meetings.) The Luna fund manager may feel unduly pressured to vote in support of the insurance company's management to avoid losing the significant investment in the fund by the insurance company.

(Module 6.2, LOS 6.d)

Question #51 of 58

Question ID: 1674615

An investment consultant makes the following statements about the characteristics of an active manager's choice of benchmark for an equity portfolio:

Statement 1:	It is essential that constituent stocks of the benchmark have ample liquidity.
Statement 2:	The benchmark should contain a broad range of stocks.

Are the consultant's statements correct?

A) The analyst is correct regarding Statement 1 only. ✗

B) The analyst is correct regarding Statement 2 only. ✗

C) Yes. ✓

Explanation

An active manager's choice of benchmark should have adequate liquidity to achieve reasonable trading costs.

The benchmark should contain a broad range of stocks to enable the manager to generate sufficient alpha.

(Module 6.2, LOS 6.e)

Question #52 of 58

Question ID: 1674599

An investor states that the direct costs of research are higher for actively managed funds than for passively managed funds, but that direct costs of portfolio management are higher for passively managed funds than for actively managed funds. Are the investor's statements accurate?

A) Yes.

B) The investor is correct about direct costs of research, but incorrect about direct costs of portfolio management.

C) The investor is correct about direct costs of portfolio management, but incorrect about direct costs of research.

Explanation

Direct costs of research and portfolio management are higher for actively managed funds than for the direct costs of passively managed funds.

(Module 6.2, LOS 6.c)

Question #53 of 58

Question ID: 1674569

An investment advisor is considering the addition of equity securities to one of his client's portfolios. According to the client's investment policy statement, the client exhibits a low tolerance for risk and prefers stable portfolio income. Which type of equity security would be *most appropriate* given this client's investment considerations?

A) Small-cap technology company.

B) Mid-cap oil-producing company.

C) Large-cap consumer staples company.

Explanation

Investing in companies that pay regular dividends, such as large, well-established firms, would be most suitable for this client's conservative risk and return objectives. Small technology firms are most likely focused on growth opportunities, so they would be more appropriate for an aggressive portfolio. Commodity-producing companies may offer a hedge against inflation, but this investment is less suitable for a conservative portfolio than a large-cap consumer staples company.

(Module 6.1, LOS 6.a)

Question #54 of 58

Question ID: 1674578

An equity manager is using a segmentation approach in managing an institutional investment portfolio. She invests mainly in large companies with a stable demand for their products and domiciled in developed countries. Her main concern is that she has overestimated the diversification benefit. Which segmentation approach is the equity manager *most likely* using?

A) Size and style. ✗

B) Economic activity. ✗

C) Geography. ✓

Explanation

One major weakness of segmentation by geography is that by targeting large companies domiciled in developed countries, the actual exposure to a specific geographic market may be lower than expected (i.e., the diversification benefit is overestimated). Many large companies in developed countries already have an international focus as opposed to focusing on their domicile.

There is insufficient information provided to suggest that the equity manager is segmenting in regard of style; admittedly, by targeting large companies, she is segmenting by company size only.

There is insufficient information provided to suggest that the equity manager is segmenting by economic activity. Targeting companies with a stable demand for their products does not make it clear that the equity manager is using a production-oriented or a market-oriented approach.

(Module 6.1, LOS 6.b)

Question #55 of 58

Question ID: 1674612

Which of the following statements regarding passive and/or active management is correct?

A) Passive management makes use of narrower and more limited benchmarks. ✓

B) Both passive and active management are likely to be subject to key person risk. ✗

C) Both passive and active management are likely to be subject to reputation risk. ✗

Explanation

Narrow and limited benchmarks do not allow the manager much room to deviate and are likely to support a more passive management approach.

It is active managers who are much more likely than passive managers to face reputation risk (i.e., violations of rules, regulations, client agreement, or moral principles) in seeking to outperform a benchmark and add value. In contrast, passive managers who are merely seeking to match a benchmark are much less likely to face reputation risk.

Key person risk results from individuals who are essential to the success of the fund leaving the investment firm. It is a clear risk for active management and much less of a concern for passive management because passive managers are generally much more easily replaceable.

(Module 6.2, LOS 6.e)

Question #56 of 58

Question ID: 1674579

Which of the following items are benefits received by segmenting equity investments by both size and style?

A) This process enables static classification for a company. ✗

B) This process enables assets to be grouped together for easier comparison to the S&P 500 Index as a general benchmark. ✗

C) This process presents a granular opportunity for diversification. ✓

Explanation

Considering investments relative to both style and size factors presents the opportunity for investors to target exposure to meet specific objectives. Company classifications (e.g., medium cap, large cap, value, growth) can change over time. This is a dynamic process. Categorization also enables benchmarks to be customized beyond the standard S&P 500 Index. A small-cap growth stock should be benchmarked to something other than the S&P 500 Index.

(Module 6.1, LOS 6.b)

Question #57 of 58

Question ID: 1674610

A trainee analyst makes the following notes related to shareholder engagement.

Note 1:	Shareholder engagement may cause a company to prioritize meeting short-term share price targets at the expense of long-term goals.
Note 2:	Proxy voting is commonly used in a company's general meetings and may enable minority shareholders to increase their influence at these meetings.

Which of the analyst's notes is correct?

A) Only Note 2. ✗

B) Both Note 1 and Note 2. ✓

C) Only Note 1. ✗

Explanation

Shareholder engagement may pressure company management to meet short-term share price, earnings, or cash flow targets at the expense of long-term goals.

Proxy voting enables shareholders who are unable to attend a general meeting to instruct another shareholder or a company director to vote on their behalf. Proxy voting enables minority shareholders to collectively vote their shares at a general meeting, potentially increasing their influence.

(Module 6.2, LOS 6.d)

Question #58 of 58

Question ID: 1674570

An investment analyst is addressing environmental, social, and governance (ESG) concerns for clients. Her goal is to recommend suitable investments by excluding companies from the equity investment universe that fail to meet client ESG standards. Which of the following screening techniques should be applied by the investment analyst?

A) Positive screening. ✗

B) Thematic investing. ✗

C) Negative screening. ✓

Explanation

Negative screening (i.e., exclusionary screening) excludes companies or sectors that do not meet client standards. Positive screening (i.e., best-in-class screening) seeks to uncover companies or sectors that rank most favorably with clients. Thematic investing screens equities based on a specific theme.

(Module 6.1, LOS 6.a)